

gained. Meanwhile, the experienced withdrew from participation or shunned the tulip trade, as explained by Chancellor:

The wealthy amateur bulb collectors, who had long shown a readiness to pay vast sums for the rarer varieties, withdrew their custom as prices began to soar, while the great Amsterdam merchants continued investing their trading profits in town houses, East India stock, or bills of exchange—for them, tulips remained merely an expression of wealth, not a means to that end.¹²

Since much of a tulip's life is spent as a bulb and not a blossom, it lends itself to a futures market, which the Dutch called a *windhandel*, or the wind trade.¹³ A futures market is where a buyer and a seller agree to the future price of a good. When that specific time arrives, the buyer must pay the seller the agreed upon amount.

However, in those days, waiting for that agreed-upon time was not fast enough for the crowds of speculators. The tulip futures contracts themselves were traded, sometimes as many as 10 times in a day.¹⁴ Considering these trades were made person to person, 10 trades in a day was representative of a liquid and frenzied market.

With the futures market, the value of tulips could be abstracted even more. People didn't have to worry about the actual delivery of the tulip—they just had to make sure they could sell the contract for a higher price than they themselves had bought it for. While the frenzy over tulips had been building for a few years, the mania peaked during the winter of late 1636 and early 1637, when the tulip bulbs were still dormant in the ground. Therefore, the period of greatest